

Board Executive Brief: 2027 Rate Case Timing and Capital Pacing

Sedgewater Energy Holdings | Finance and Regulatory Affairs | 2026-09-19 | vBoard pre-read

Board executive brief for the October 8, 2026 meeting. Subject: timing of the next electric base rate case and capital pacing. Prepared by the Chief Financial Officer and the Vice President, Regulatory Affairs, September 19, 2026. Decision requested.

1. Decision requested

Management recommends filing the next electric base rate case in the second quarter of 2027, using a 2026 test year. The alternative is to file in the fourth quarter of 2027 after a further DCRF update. The board is scheduled to decide at its October 8, 2026 meeting.

2. Where rates stand

The last electric base rate order (March 2022) set a 9.60% return on equity and a 42.5% equity ratio. Rate base was about \$4.62 billion at December 31, 2025.

Since then capital has been recovered through DCRF and TCOS updates. A DCRF update is allowed no more than twice a year. We filed DCRF updates in April and September 2025; the first 2026 update (\$41.8 million) took effect in July and the second, about \$23 million, is planned for September 28.

3. Why file in 2027

Rate base has grown since the 2022 order; storm costs are below the securitization threshold and need a rate path; vegetation and contractor unit costs are higher than in current rates; and the second 2026 DCRF uses the last available DCRF update before rates are reset.

4. O&M pressure

2026 O&M is \$8.5 million over budget through August (\$364.5 million against \$356.0 million), and the full-year forecast is \$556 million against a \$541 million budget. The largest variances are Distribution Operations (+\$4.4 million) and Vegetation Management (+\$3.1 million). The forecast is above budget mainly because of vegetation unit costs, contractor rates and outside regulatory costs. O&M actuals exclude storm costs recorded as regulatory assets.

The totals below are for all departments and cost elements.

Measure	Value
Measure	budget_fy_usd
Unit	USD
Total	541000000.0
Mean	9016666.6667
Records	60
Period	2026-01-01 to 2026-08-31
Measure	forecast_fy_usd
Unit	USD
Total	556000000.0
Mean	9266666.6667
Records	60
Period	2026-01-01 to 2026-08-31
Measure	budget_ytd_usd
Unit	USD
Total	356000000.0
Mean	5933333.3333
Records	60
Period	2026-01-01 to 2026-08-31
Measure	actual_ytd_usd
Unit	USD
Total	364500000.0
Mean	6075000.0
Records	60
Period	2026-01-01 to 2026-08-31

Full-year 2026 O&M budget and September forecast, with January-August budget and actual, by department and cost element.

5. Storm costs

Restoration of the May 2026 event is estimated at \$38.4 million, of which \$24.3 million of O&M is recorded as a regulatory asset; the June 2025 event cost \$29.7 million. The latest outage review has the event details. Texas wires utilities generally do not insure overhead lines and recover restoration costs through rates or securitization. System restoration costs can be securitized, but the threshold is \$50 million, so both events need recovery through base rates.

6. Capital pacing

The 2026 capital budget is \$1,120 million; \$683.0 million was spent through August and the forecast is \$1,108 million. The 2026-2030 outlook is about \$6.10 billion.

The resiliency plan approved in October 2025 (\$612 million of capital and \$41 million of O&M over three years, against \$890 million proposed) is on a separate recovery path.

2026 resiliency capital is forecast at \$180 million against \$196 million, mainly because undergrounding is behind; \$109.0 million of capital and \$3.37 million of O&M were recorded through August.

7. Gas

The gas utility must file a comprehensive rate case by March 2028 because its first interim rate adjustment was filed in March 2023. Filing electric in 2027 keeps the two cases about a year apart.

8. Risks of each option

- Second quarter 2027: larger regulatory workload in a hurricane season; the test year includes the May 2026 event.
- Fourth quarter 2027: one more DCRF update, but storm costs and higher O&M stay unrecovered longer, and the filing moves closer to the gas case.